
ABC CONSULTANTS LTD. – LEAVE POLICY

Policy Version: 1.0

Effective Date: 1-Jan-2026

Approved By: JL7 – Executive Leadership

Applies To: All employees of ABC Consultants Ltd.

1. PURPOSE OF THE POLICY

The purpose of this Leave Policy is to:

- Ensure employee well-being, work–life balance, and sustained productivity
 - Provide a structured, transparent, and equitable framework for availing leave
 - Define clear roles, responsibilities, approval authority, and governance
 - Ensure statutory compliance with applicable labor laws
 - Enable consistent leave management across business units, functions, and geographies
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2. SCOPE & APPLICABILITY

This policy applies to:

- All permanent employees of ABC Consultants Ltd.
- Employees on company payroll across all job levels (JL3–JL7)
- Employees working full-time, hybrid, or remote (unless contractually excluded)

Exclusions (unless explicitly stated):

- Interns, apprentices, consultants, and contract staff (covered under separate agreements)
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3. DEFINITIONS

Term	Definition
Leave Year	January 1 to December 31
Job Level (JL)	Internal employee classification based on role and seniority
Approver	Manager or authority authorized to approve leave
HR	Human Resources function
LWP	Leave Without Pay
Final Approver	JL7 authority

4. JOB LEVEL STRUCTURE & AUTHORITY

Job Level Description

JL3	Individual Contributors / Associates
JL4	Senior Associates / Leads
JL5	Managers
JL6	Senior Managers / Directors
JL7	Executive Leadership (Final Authority)

5. TYPES OF LEAVE

5.1 Privilege / Earned Leave (PL / EL)

Objective:

To allow employees planned time off for rest, personal needs, or vacations. The purpose of granting annual leave is to ensure employees take sufficient time away from work to rest, recharge, and maintain a healthy balance between their professional and personal lives. Employees are encouraged to utilize their leave within the **same calendar cycle**, planning their time off thoughtfully and well ahead in consultation with their manager.

Job Level Annual Entitlement

JL3–JL6 24 days per year

JL7 30 days per year

Key Rules:

- Accrued monthly on a pro-rata basis
- Can be availed after confirmation
- Must be applied at least **7 working days in advance**
- Maximum **10 consecutive working days** without special approval

Carry Forward & Encashment:

- Max carry forward: **20 days**
- Excess lapses unless encashed as per company policy
- Encashment allowed at separation or as notified.

LEAVE LAPSING ILLUSTRATIONS

Section I

a) Employees following a May–April leave year

- Leave balance as on **April 30, 2024 = 4 days**
- Leave credited during leave year **May 2024 – April 2025 = 20 days**
- Leave taken during the year = **6 days**
- Leave balance as on **April 30, 2025 = 18 days**

Explanation:

With 20 days credited, the employee is expected to take at least **10 days** during the leave year. Since only **6 days** were taken, **4 days** will lapse on **April 30, 2025**.

Therefore, **14 days** will be carried forward to the next leave year:

Carry-over Leave Balance as on May 1, 2025 = 14 days

b) Employees following a February–January leave year

- Leave balance as on **January 31, 2024 = 2 days**
- Leave credited during leave year **February 2024 – January 2025 = 20 days**
- Leave taken in **September 2024 = 5 days**
- Leave balance as on **January 31, 2025 = 17 days**

Explanation:

The employee is expected to take at least **10 days** of leave out of the 20 credited. Since only **5 days** were taken, **5 days** will lapse on **January 31, 2025**.

Thus, the carry-forward amount will be:

Carry-over Leave Balance as on February 1, 2025 = 12 days

Section II**a) Employees following a May–April leave year**

- Leave balance as on **April 30, 2025 = 22 days**
- Leave credited during leave year **May 2025 – April 2026 = 20 days**
- Leave taken during the year = **4 days**
- Leave balance as on **April 30, 2026 = 38 days**
- Maximum permissible carry-forward = **20 days**

Explanation:

Out of the 20 credited days, the expectation is that the employee takes **10 days**. Since only **4 days** were taken, **6 days** will lapse.

Additionally, since the balance exceeds the maximum carry-forward limit of **20 days**, the excess amount also lapses:

- Excess beyond 20 days = **18 days**

Total leave lapsing on April 30, 2026 = 6 + 18 = 24 days

Carry-over Leave Balance as on May 1, 2026 = 20 days

b) Employees following a February–January leave year

- Leave balance as on **January 31, 2025 = 20 days**
- Leave credited during leave year **February 2025 – January 2026 = 20 days**
- Leave taken = **5 days**
- Leave balance as on **January 31, 2026 = 35 days**
- Maximum allowable carry-forward = **20 days**

Explanation:

The employee was expected to take at least **10 days** of leave but took only **5**, so **5 days** will lapse.

Additionally, any amount beyond the 20-day carry-forward cap will also lapse:

- Excess beyond 20 days = **15 days**

Total leave lapsing on January 31, 2026 = 5 + 15 = 20 days

Carry-over Leave Balance as on February 1, 2026 = 20 days

5.2 Casual Leave (CL)

Objective:

For short, unforeseen personal requirements.

Job Level Entitlement

JL3–JL7 8 days per year

Rules:

- Cannot be clubbed with EL beyond 2 consecutive days
- Cannot be carried forward or encashed
- Advance notice preferred, same-day intimation mandatory

5.3 Sick Leave (SL)

Objective:

To support employees during illness or medical recovery.

Job Level Entitlement

JL3–JL7 10 days per year

Rules:

- Medical certificate required for **3+ consecutive days**
 - Unused SL lapses at year end
 - Can be converted to LWP if exhausted
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5.4 Maternity Leave

Applicable as per statutory regulations.

- Up to **26 weeks** for first two children
 - Applicable to JL3–JL7 employees
 - Full pay during statutory period
 - Approval: HR + JL6 (JL7 for exceptions)
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5.5 Paternity Leave

- **10 working days** within 6 months of childbirth
 - Applicable to JL3–JL6
 - JL7 eligibility subject to Board approval
 - Cannot be carried forward
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5.6 Adoption Leave

- Up to **12 weeks**
- Applicable to primary caregiver
- Approval: HR + JL6 (JL7 for deviations)

This Policy applies to all employees whose base and current work location is within India.

Employees must have completed at least 80 working days on the Company's rolls (counting only physical presence in office and excluding weekends and holidays) and must have been newly matched with a child for adoption by a recognized adoption agency.

The Policy is applicable only when the child is matched and placed for adoption within India. Inter-country (international) adoptions are not covered under this Policy.

Adoption Leave will not be granted in cases where the child is *not* newly matched* with the employee (for example, when a step-parent adopts their spouse's/partner's child).

***Newly matched:**

"Matching" refers to the process of connecting a child in need of adoption with eligible prospective parents. If the child is the biological or existing child of an employee's partner or spouse, it does **not** qualify as a new match; therefore, the employee is not eligible for Adoption Leave.

Leave Entitlement

- Primary caregivers will be entitled to a maximum of **eighteen** consecutive calendar weeks of paid leave.
 - Secondary caregivers will be eligible for up to **seven** consecutive working days of paid leave, aligned with the provisions of the Paternity Leave Policy.
 - Both primary and secondary caregivers may choose to begin their Adoption Leave either from the date the child is placed with them or from the official date of adoption.
 - The leave must commence within **forty-five** calendar days of the placement or adoption date. If an employee resumes work before completing the seven working days or eighteen calendar weeks of eligibility, any remaining leave entitlement will lapse.
 - **Maximum entitlement:** Employees may utilize Adoption Leave for up to **three** separate adoption events during their tenure.
 - **Encashment / carry-forward:** Adoption Leave cannot be encashed or carried forward to any subsequent leave year.
 - The duration of leave granted under this Policy remains fixed even when multiple children are adopted as part of a single adoption process.
 - If both spouses employed with the Company adopt a child, each may avail the benefit concurrently, in accordance with their respective eligibility.
 - Any leave taken beyond the permitted duration will be considered unpaid unless the employee has sufficient earned leave balance, and such usage is approved by the relevant manager.
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5.7 Bereavement Leave

- **5 working days** on death of immediate family member. Bereavement Leave may be taken either at one stretch or in multiple segments, up to a maximum of **5 days** in total, and must be availed within **ten calendar days** of the bereavement.
 - Employees may apply for Bereavement Leave for each instance of loss of an immediate family member, which includes parents, spouse, children, siblings, parents-in-law, and grandparents. While applying, employees are required to provide the dependent information and clearly indicate their relationship with the deceased family member.
 - The Company understands the impact that death can have on an individual or a family, therefore additional leave may be granted. If additional leave is required for an employee to attend the funeral, additional leave may be requested. Additional days require JL6/JL7 approval.
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5.8 Compensatory Off (Comp-Off)

- Granted for working on declared holidays or weekends
 - Must be availed within **90 days**
 - Requires prior approval from JL5+
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5.9 Sabbatical Leave

Eligibility:

- Minimum 5 years of continuous service
- Applicable to JL5–JL7

Duration:

- 1 to 6 months (paid/unpaid as approved)

Approval:

- JL6 recommendation
 - JL7 final approval (mandatory)
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5.10 Leave Without Pay (LWP)

- Applicable when all paid leaves are exhausted
 - Impact on salary, benefits, and bonus eligibility
 - Approval matrix applies (see Section 7)
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5.11 Advance Leave

- Employees may request advance leave equivalent to two upcoming months of accrual, subject to approval from their Manager at Job Level 6 or higher.
 - Advance leave may be utilized only for the employee's medical needs or wedding-related requirements.
 - Leave may be taken in full-day units and only up to the limit of two months' projected entitlement.
 - Advance leave can be availed only when an employee does not have adequate leave balance to cover the requested number of days.
 - The employee's subsequent bi-monthly leave credit will be reduced to account for the advance leave taken.
 - Employees who have initiated the separation process or are currently serving their notice period are not eligible for advance leave.
 - Part-time employees may avail advance leave equal to two months of their prorated entitlement (equivalent to four part-time days), similar to the provision available to full-time employees.
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6. Procedure for Leave Carry-Over and Leave Lapse

Employees may carry forward no more than forty percent of their Annual Leave Credit into the following leave cycle. Any leave balance exceeding this limit will automatically lapse.

- The maximum leave balance allowed at the end of a leave cycle is twenty-four days. Any balance beyond twenty-four days at the close of the cycle will lapse.
- These provisions apply equally to employees who are on international assignments, those who are on deputation, and to female employees who earn additional leave for late-evening shift work in designated regions during that leave cycle.

- Leave lapsing will be executed based on balances as of November 30 (for leave cycles running December–November) or February 28 (for leave cycles running March–February). Lapse will be processed only after employees' attendance records have been fully regularized.
- Trainees who join during a leave cycle are exempt from leave lapse (for earned leave) at the end of their first leave cycle.
- Effective 1st February 2026, employees joining laterally on or after August 1 of a given leave cycle will be exempt from leave lapse (for earned leave) at the conclusion of their first cycle on November 30.
- At the time of separation, any unutilized earned leave remaining on the employee's final working day will be encashed in accordance with applicable statutory requirements.

Note: These provisions are standardized, and exceptions are not envisaged. Employees are advised to familiarize themselves thoroughly with the Policy guidelines to avoid any unintended deviation.

7. HOLIDAYS

- Company-declared holidays (national, regional, floating)
- Published annually by HR
- Working on holidays eligible for Comp-Off or overtime (where applicable)

8. LEAVE APPROVAL MATRIX

8.1 Standard Leave Approval

Job Level Primary Approver Secondary / Final Approver

JL3	JL4 / JL5	JL6
JL4	JL5	JL6
JL5	JL6	JL7
JL6	JL7	—

Job Level Primary Approver Secondary / Final Approver

JL7 Board / CEO —

8.2 Special Leave & Exception Approval

Leave Type	Mandatory Final Approver
Sabbatical	JL7
LWP > 10 days	JL7
Leave encashment (early)	JL7
Policy deviation	JL7
Retroactive leave	JL7

JL7 is the final authority for all escalations and exceptions.

9. LEAVE APPLICATION PROCESS

1. Employee submits leave request via HRMS
2. Immediate manager reviews workload & coverage
3. Approver action within **2 working days**
4. HR validates eligibility
5. Final approval (if required)

Emergency Leave:

Must be intimated via email/phone within 24 hours.

10. ROLES & RESPONSIBILITIES

10.1 Employees

- Plan leave responsibly
- Ensure timely handover

- Comply with approval timelines

10.2 Managers (JL4–JL6)

- Balance team capacity
- Ensure fair approval
- Escalate exceptions responsibly

10.3 HR

- Policy governance
- Compliance & audits
- Dispute resolution

10.4 JL7 (Executive Leadership)

- Final decision authority
 - Policy exception approvals
 - Strategic workforce continuity
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11. MISUSE & DISCIPLINARY ACTION

- Misrepresentation or abuse of leave may result in disciplinary action
 - Unauthorized absence beyond 3 days may be treated as misconduct
 - HR reserves the right to investigate anomalies
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12. POLICY EXCEPTIONS

Any exception must:

- Be documented
 - Include business justification
 - Be approved by **JL7 only**
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13. POLICY REVIEW & AMENDMENTS

- Reviewed annually or as required
- Changes approved by JL7
- HR to communicate updates formally

14. GOVERNING LAW

This policy is governed by applicable labor laws of India and company regulations.

15. CONTACT

For clarification, contact:

HR – ABC Consultants Ltd.